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ILLUSTRATION BY **SIDDHANT JUMDE**

RISING MOMENTUM

► **Fixed income investing is coming back as equity markets remain volatile and valuations stretched. Bonds and debt funds are offering stable returns with much lower risk than equities**

► **Equity flows volatile. FPIs added over ₹2.5 lakh crore debt in FY24 and FY25**

► **Direct investment in government bonds is now easier for retail, with online platforms offering investments from as low as ₹100**

► **Debt funds are emerging as strong alternatives to bank FDs, especially after repo cuts reduced FD rates. Several debt fund categories now offer better yields, liquidity, and tax efficiency for long-term investors.**

► **Interest rate cuts favour debt funds, particularly longer-duration, gilt, and corporate bond funds, which can benefit from capital gains when yields fall, while short-duration funds provide stability.**